

Poverty Alleviation Fund Act, 2006

Document type: act

Source: Nepal Law Commission / Ministry of Law, Justice and Parliamentary Affairs

Chunks merged: 10

Chapter-1

Preliminary

1. Short Title and Commencement: (1) This Act may be called the "Poverty Alleviation Fund Act, 2006 (2063)".

(2) This Act shall be deemed to have commenced from the 28th day of the month of Shrawan of the year 2063 (August 13, 2006). 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Fund" means the Poverty Alleviation Fund established pursuant to Section 3.

(b) "Poverty Alleviation Program" means the programs referred to in Section 6.

(c) "Poor" means a person or group who is below the national or regional poverty line, as determined by the Government of Nepal from time to time under specified criteria, who is backward based on human development indicators such as education, health, and who has not been included in the national development process based on certain gender and social groups.

(d) "Partner Organization" means the local bodies under the Local Self-Governance Act, 2054 (1998), and the term also includes other institutions established pursuant to the prevailing law with the objective of conducting poverty alleviation programs.

(e) "Community Organization" means a community-based organization registered under Section 10 based on criteria determined by the Fund, with the objective of alleviating poverty.

(f) "Social Mobilization" means the process of awakening and motivating the poor of a specific group or community towards activities for uplifting their living standards, making them capable of participating in decision-making processes in an organized or collective manner, and developing their skills and capacity.

(g) "Committee" means the Governing Committee of the Fund constituted under Section 11.

(h) "Chairperson" means the Chairperson of the Committee.

(i) "Vice-Chairperson" means the Vice-Chairperson of the Committee.

(j) "Member" means a member of the Committee, and the term also includes the Chairperson and Vice-Chairperson of the Committee.

(k) "Executive Director" means the Executive Director of the Fund appointed pursuant to Section 19.

(l) "Employee" means an employee of the Fund.

(m) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules framed under this Act.

Chapter-2

Establishment, Objectives, and Powers, Duties and Functions of the Fund

3. Establishment of the Fund: (1) A Fund shall be established in the name of the "Poverty Alleviation Fund".

(2) The central office of the Fund shall be located in the Kathmandu Valley, and the Fund may open its offices at any place within the State of Nepal as necessary. 4.

Fund to be an Autonomous Body: (1) The Fund shall be an autonomous and corporate body with perpetual succession. (2) The Fund shall have a separate seal for its business. (3) The Fund may, like a person, acquire, use, sell, or otherwise dispose of movable and immovable property. (4) The Fund may, like a person, institute and defend suits and legal proceedings in its own name. 5. Objectives of the Fund: The objectives of the Fund shall be as follows:- (a) To enhance the capacity of poor individuals, families, or communities by ensuring their access to and enabling them to utilize necessary services and facilities, and by actively engaging them in the decision-making process of local development funds so they can exercise their rights, interests, and entitlements, thereby raising their economic and social status through the medium of social mobilization. (b) To identify economically and socially backward individuals, families, or communities living below the poverty line, and to conduct economic, social, and physical infrastructure programs to uplift their economic and social status and enhance their capacity. (c) To assist in raising the economic and social status of poor individuals, families, or groups by identifying the causes of poverty at the local level and utilizing local skills, resources, and knowledge through the medium of social mobilization. (d) To establish and facilitate coordination among partner organizations. (e) To provide financial and technical support for mobilizing resources related to poverty alleviation and for institutional development related thereto. 6. Programs to be Conducted from the Fund: To achieve the objectives of the Fund, the following types of programs shall primarily be conducted according to local demand:- (a) Income generation, skill development, employment creation and enhancement, and production increase programs such as agriculture, animal and bird rearing, sewing and knitting, cottage and small industries based on local resources and raw materials. (b) Programs related to basic health, literacy, technical education, youth employment training, small irrigation, small bridges, suspension bridges, drinking water, sanitation, rural roads, rural energy, and environment as complementary programs as necessary to support poverty alleviation work. (c) Programs for the construction of small development infrastructures identified by the community. (d) Programs such as training, workshops, observation tours, etc., for the capacity building of individuals, families, community organizations, and employees involved in such programs through social mobilization, by developing a working methodology for the smooth operation of poverty alleviation programs through partner organizations. 7.

Powers, Duties, and Functions of the Fund: The powers, duties, and functions of the Fund shall be as follows:- (a) To approve policies, plans, and programs relating to the operation and management of the Fund. (b) To approve annual and periodic programs and budgets of the Fund and to arrange or cause to arrange necessary funds thereof. (c) To prepare poverty alleviation programs and mobilize partner organizations to conduct such programs. (d) To prepare the basis and procedures for providing grants or assistance for conducting poverty alleviation programs and to provide grants and assistance accordingly. (e) To prepare bases and indicators for measuring poverty in specific places, areas, persons, families, or communities, and to conduct and review the progress of poverty alleviation programs accordingly. (f) To conduct or cause to conduct regular monitoring and evaluation of programs relating to poverty alleviation conducted with grants and assistance from the Fund. (g) To approve plans and programs submitted to the Fund. (h) To cause the annual audit of the Fund. (i) To submit an annual report of the activities performed by the Fund throughout the year to the Government of Nepal. (j) To approve the organizational structure of the Fund and create necessary posts accordingly. (k) To perform other necessary functions to achieve the objectives of the Fund. Chapter-3 Sources, Mobilization, and Management of the Fund 8. Fund may Raise Financial Resources: (1)

The Fund may raise necessary financial resources, including assistance and grants, from the Government of Nepal, governmental and non-governmental organizations, foreign governments or institutions, international organizations or agencies, or individuals for conducting programs in line with its objectives. Provided that, before taking financial resources from a foreign government or institution, international organization or agency, or foreign individual, the Fund shall obtain the approval of the Government of Nepal. (2) The amount of grant received from the Government of Nepal in the Fund pursuant to sub-section (1) and the amount of assistance or grant received from a foreign government or institution, international organization or agency, or foreign individual shall be included in the budget of the Government of Nepal and made available to the Fund in the form of a grant. 9. Mobilization of Partner Organizations: The Fund may select partner organizations for conducting poverty alleviation programs and mobilize them by providing grants or assistance as prescribed. 10.

Mobilization of Community Organizations: (1) The Fund may, as necessary, mobilize community organizations that meet the criteria determined by the Fund and are based in the community to conduct poverty alleviation programs, for conducting necessary programs for achieving the objectives under this Act. (2) An organization desiring to be mobilized pursuant to sub-section (1) shall register with the Fund as prescribed. (3) The Fund may provide grants or assistance as prescribed to a community organization for conducting poverty alleviation programs pursuant to sub-section (1). Chapter-4 Constitution and Powers, Duties and Functions of the Governing Committee 11. Constitution of Governing Committee: (1) For the purpose of achieving the objectives of the Fund, a Governing Committee shall be constituted to conduct, oversee, and manage all activities to be performed by the Fund in accordance with this Act and the rules framed under this Act. (2) The Governing Committee shall consist of the following members:- (a) The Prime Minister - Chairperson (b) A person nominated by the Government of Nepal pursuant to the procedure under Section 12, from among persons who have obtained at least a Master's degree and have made a distinguished contribution at the national level in the field of poverty alleviation with at least seven years of experience, or a former Vice-Chairperson or member of the National Planning Commission - Vice-Chairperson (c) Secretary, National Planning Commission Secretariat - Member (d) Deleted by Some Nepal Acts Amendment Act, 2072. (e) Deleted by Some Nepal Acts Amendment Act, 2072. (f) Deleted by Some Nepal Acts Amendment Act, 2072. (g) Deleted by Some Nepal Acts Amendment Act, 2072. (h) Five persons nominated by the Government of Nepal, including at least one woman, from among persons who have made a special contribution in the field of poverty alleviation and have earned repute in national life, and persons from groups and regions that have not been adequately represented in national life - Members (3) While nominating members pursuant to clause (h) of sub-section (2), the Government of Nepal shall do so from among persons who have obtained a Master's degree and have contributed at least seven years in the field of poverty alleviation. (4) The term of office of the members nominated pursuant to clauses (b) and (h) of sub-section (2) shall be four years.

They may be re-nominated.

(5) While nominating members pursuant to clauses (b) and (h) of sub-section (2), the Government of Nepal shall do so from among non-political and professional persons.

(6) The Committee may, if it deems necessary, invite persons involved in poverty alleviation work and experts on relevant subjects to participate as observers in the meeting of the Committee.

(7) To make the poverty alleviation program more effective by coordinating the mobilization program of external resources and means, the Committee may, if it deems necessary, constitute an Advisory Committee

comprising representatives of concerned institutions.

(8) The Executive Director of the Poverty Alleviation Fund shall be the Secretary of the Committee. 12. Selection Committee: (1) For the purpose of recommending to the Government of Nepal for the nomination of the Vice-Chairperson pursuant to clause (b) of sub-section (2) of Section 11, there shall be a Selection Committee as follows:-

- (a) Vice-Chairperson, National Planning Commission - Coordinator
- (b) A person designated by the Government of Nepal from among experts related to the field of poverty alleviation - Member
- (c) Chief Secretary, Government of Nepal - Member

(2) The Selection Committee pursuant to sub-section (1) shall recommend three names to the Government of Nepal for the nomination of the Vice-Chairperson.

(3) The Government of Nepal shall nominate one of the three persons recommended by the Selection Committee pursuant to sub-section (2) as the Vice-Chairperson.

(4) The Selection Committee may determine its own procedures for conducting meetings and the process to be adopted while selecting names for recommendation for the nomination of the Vice-Chairperson. 13. Meeting and Decision of the Committee: (1) A meeting of the Committee shall be held at the date, time, and place specified by the Chairperson, at least six times in a year. Provided that the interval between two meetings shall not exceed two months.

(2) The Secretary of the Committee shall provide the notice of the meeting along with the agenda for discussion to the members at least seven days before the date of the meeting.

(3) The meeting of the Committee shall be presided over by the Chairperson, and in his/her absence, by the Vice-Chairperson.

(4) If more than fifty percent of the total number of members are present, it shall be deemed to constitute a quorum for a meeting of the Committee.

Provided that for a meeting held for discussion on matters relating to the long-term and short-term plans, annual program and budget of the Fund, the presence of at least seventy-five percent of the members shall be required.

(5) The opinion of the majority shall prevail in a meeting of the Committee, and in case of a tie, the person presiding over the meeting shall have a casting vote.

(6) The decisions made by the Committee shall be certified by the Secretary of the Committee.

(7) Other procedures relating to the meetings of the Committee shall be as determined by the Committee itself. 14. Cessation of Membership: (1) In any of the following circumstances, the position of a member nominated pursuant to clauses (b) and (h) of sub-section (2) of Section 11 shall be deemed vacant:-

- (a) Upon death,
- (b) Upon expiry of the term of office,
- (c) Upon resignation from the position,
- (d) If absent from three consecutive meetings of the Committee without any notice,
- (e) If a proposal submitted by any member of the Committee that it is necessary to remove the member from

the position for acting contrary to the objectives of this Act, being inactive in or not cooperating with the work of the Fund, doing any act causing loss or damage to the Fund, or acting contrary to the policies or directives of the Fund or the Committee is passed by more than fifty percent of the total number of members of the Committee.

(2) For the purpose of clause (e) of sub-section (1), the procedures for submitting a proposal, discussing the proposal, and voting on the proposal shall be as prescribed by the Committee. 15. Proceedings Not to be Invalid: No proceedings of the Committee shall be invalid merely by reason of any defect in the constitution of the Committee or any vacancy in the position of any member. 16. May Constitute Sub-committee: (1) The Committee may constitute a sub-committee as necessary to conduct its functions.

(2) The powers, duties, functions, terms of reference, and procedures of the sub-committee constituted pursuant to sub-section (1) shall be as prescribed by the Committee. 17. Powers, Duties and Functions of the Chairperson: The powers, duties, and functions of the Chairperson shall be as follows:-

(a) To give necessary directives to the Vice-Chairperson for the effective operation of the programs of the Fund,

(b) To perform or cause to perform other necessary work for the effective operation of the Fund. 18.

Powers, Duties and Functions of the Vice-Chairperson: (1) The Vice-Chairperson shall be the executive chief of the Fund and shall conduct the affairs of the Fund under the direction of the Chairperson. (2) In addition to what is written in sub-section (1), other powers, duties, and functions of the Vice-Chairperson shall be as follows:- (a) To give directives to the Executive Director regarding the smooth operation of the daily work of the Fund, (b) To conduct or cause to conduct monitoring, evaluation, and inspection of programs operated by the Fund, (c) To cause the annual report of the Fund to be prepared on time, (d) To perform or cause to perform other functions as prescribed for achieving the objectives of the Fund. Chapter-5 Provisions Relating to Executive Director and Employees 19. Executive Director: (1) The Committee shall appoint one Executive Director on the basis of open competition from among persons who have obtained a Master's degree in Economics, Management, or Sociology and have at least seven years of experience in the field of economic development or poverty alleviation, for conducting the daily work of the Fund. (2) Notwithstanding anything written in sub-section (1), until the post of Executive Director is filled, the Committee may appoint any person who fulfills the qualifications under sub-section (1) to the post of Executive Director for a maximum period of six months. (3) The term of office of the Executive Director shall be five years. (4) The remuneration, terms of service, and facilities of the Executive Director shall be as prescribed. (5) Notwithstanding anything written in sub-section (3), the Committee may remove the Executive Director from his/her position, following the prescribed procedure, if the Executive Director performs any act causing loss or damage to the Fund, or if an accusation of corruption is proven against him/her, or if he/she acts contrary to the policies or directives of the Committee. 20.

Powers, Duties and Functions of the Executive Director: (1) The powers, duties, and functions of the Executive Director shall be as follows:- (a) To implement or cause to implement the decisions of the Committee, (b) To prepare long-term and short-term plans, annual programs, and budgets of the Fund and submit them to the Committee for approval, (c) To implement or cause to implement the plans and programs approved by the Committee, (d) To supervise and inspect the daily work of the Fund and perform necessary tasks according to the objectives of the Fund, (e) To inspect the poverty alleviation programs implemented with grants and assistance from the Fund and submit progress reports thereof to the Committee, (f) To prepare annual and periodic reports of the programs conducted by the Fund and submit them to the

Committee, (g) To mobilize internal and external resources to raise necessary funds for the Fund. (2) In addition to what is written in sub-section (1), other powers, duties, and functions of the Executive Director shall be as prescribed. 21. Provisions Relating to Employees: (1) For the smooth operation of the work of the Fund, there shall be a necessary number of employees in the Fund. (2) Employees of the Fund shall be appointed on a contract basis as prescribed. (3) The remuneration, facilities, and terms of service of the employees of the Fund shall be as prescribed. Chapter-6 Fund and Audit 22. Fund: (1) The Fund shall have its own separate fund, which shall consist of the following amounts:- (a) Grant received from the Government of Nepal, (b) Assistance or grant received from foreign governments, national or international associations, organizations, or individuals, (c) Amount earned from the movable and immovable property of the Fund, (d) Amount received from any other sources. (2) All amounts received by the Fund pursuant to sub-section (1) shall be deposited by opening an account in the Nepal Rastra Bank or any commercial bank located within the State of Nepal. (3) All expenditures incurred on behalf of the Fund shall be borne from the amount deposited in the Fund pursuant to sub-section (1). Provided that the operating expenses of the Fund shall not exceed seven percent of the amount allocated for plans and programs up to Rupees fifty crore, or, for amounts exceeding fifty crore up to one hundred crore, three crore fifty lakh rupees or five percent, whichever is higher, and for amounts exceeding one hundred crore, five crore rupees or four percent, whichever is higher. (4) The operation of the account of the Fund shall be as prescribed. 23.

Accounts and Audit: (1) The accounts of income and expenditure of the Fund shall be maintained as prescribed. (2) The Fund shall cause an internal audit of the Fund to be conducted by a Chartered Accountant registered under the Nepal Chartered Accountants Act, 2043 (1987). (3) The annual audit of the income and expenditure of the Fund shall be conducted by the Office of the Auditor General in accordance with the prevailing law. (4) The Government of Nepal may, at any time it so desires, inspect or cause to inspect the annual accounts of the Fund. Chapter-7 Miscellaneous 24. Not to Participate: A Member, Executive Director, or any employee shall not participate in any decision-making process of the Fund relating to any subject matter in which he/she has a personal interest. 25. Oath of Office: A Member, Executive Director, and Employee shall take an oath of confidentiality and honesty as prescribed before assuming their official responsibilities. 26. Annual Report: (1) The Executive Director shall submit an annual report of the activities of the Fund to the Committee within six months from the date of expiry of each fiscal year. The Executive Director shall submit one copy of the report approved by the Committee to the Government of Nepal. (2) The report pursuant to sub-section (1) shall contain, in addition to other matters, the programs conducted by the Fund throughout the year, the cost incurred in conducting the programs, the operating expenses of the Fund, the achievements made from the programs, and improvements to be made in the future. (3) The Executive Director shall publicly publish the annual report of the Fund as mentioned in sub-section (2) each year with the approval of the Committee. 27. Meeting Allowance: The Members shall receive a meeting allowance as prescribed for participating in the meetings of the Committee. 28. May Give Orders or Directives: The Government of Nepal may, after making necessary inspection of the activities performed by the Fund or whenever it deems necessary, give necessary orders or directives to the Fund to perform activities in line with the objectives of the Fund. It shall be the duty of the Fund to comply with the orders or directives so given by the Government of Nepal. 29.

Coordination and Monitoring of Poverty Alleviation Programs: (1) While conducting or causing to conduct poverty alleviation programs pursuant to this Act, the Fund shall conduct such programs in coordination with the Amended by Some Nepal Acts Amendment Act, 2072.local levels constituted under the Local Self-Governance Act, 2054 (1998). (2) The poverty alleviation programs conducted pursuant to sub-section (1) may be monitored by the Fund itself and by the concerned Amended by Some Nepal Acts Amendment

Act, 2072.local level. 30. Delegation of Powers: (1) The Committee may, as necessary, delegate some of the powers conferred to it under this Act to any Member, a sub-committee constituted under Section 16, or the Executive Director. (2) The Chairperson may, as necessary, confer some of the powers conferred to him/her under this Act to the Vice-Chairperson. (3) The Executive Director may, as necessary, delegate some of the powers conferred to him/her under this Act to any authorized employee of the Fund. 31. Transfer of Assets and Liabilities: Upon dissolution of the Fund, all assets and liabilities under the custody of the Fund shall vest in the Government of Nepal. 32. Contact with Government of Nepal: The Fund shall maintain contact with the Government of Nepal through the Office of the Prime Minister and Council of Ministers. Provided that, for matters of daily administration relating to the Fund, the Fund may contact the concerned agency directly. 33. May Make Rules and Regulations: (1) For the purpose of implementing the objectives of this Act, the Fund may make necessary rules, and such rules shall become effective after approval from the Government of Nepal. (2) Subject to the rules made pursuant to sub-section (1), the Fund may make necessary regulations for the smooth operation or cause of operation of its activities. 34.